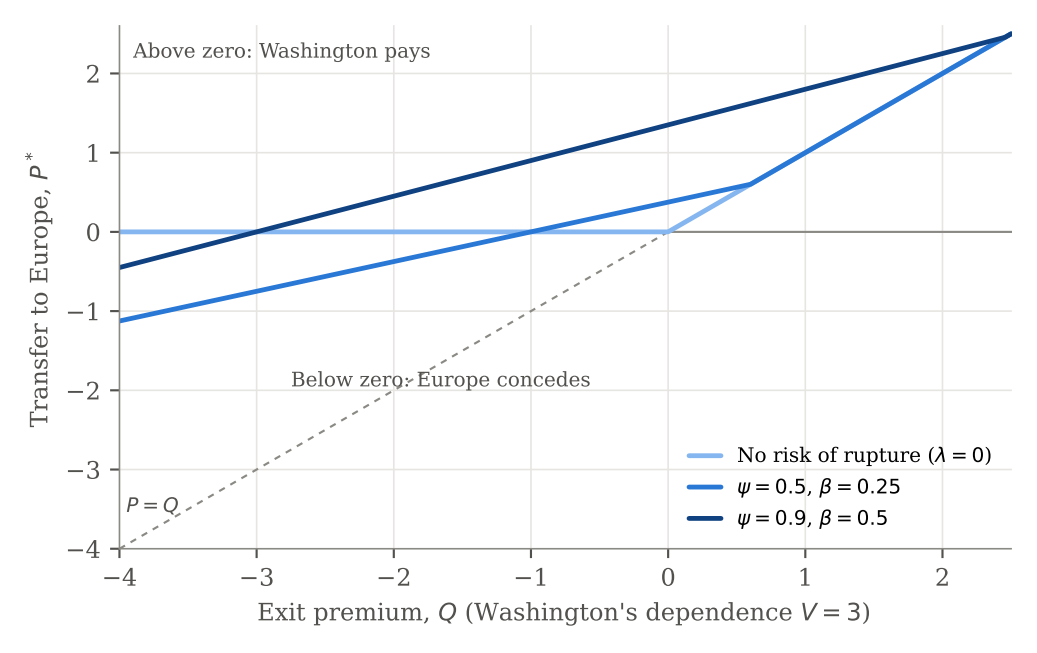
Above zero: Washington pays
Below zero: Europe concedes
P = Q
No risk of rupture (λ = 0)
ψ = 0.5, β = 0.25
ψ = 0.9, β = 0.5
Transfer to Europe, P*
Exit premium, Q (Washington's dependence V = 3)
2
1
0
−1
−2
−3
−4
−4
−3
−2
−1
0
1
2